

Obsidian Solutions Limited

Annual report and financial statements

Registered number 09737564

31 March 2023

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Contents

Company information	1
Directors' report	2
Statement of Directors' responsibilities in respect of the Directors' report and the financial statements	4
Independent auditor's report to the members of Obsidian Solutions Limited	5
Profit and loss account	8
Balance sheet	9
Statement of changes in equity	10
Notes to the financial statements	11

Company information

Directors	JC Paton LJ Griggs GA Cook (Appointed 30 June 2022) ENB Fraser (Resigned 31 March 2023)
Company number	09737564
Registered office	60 Gresham Street London England EC2V 7BB
Auditor	KPMG LLP EastWest Tollhouse Hill Nottingham NG1 5FS
Banker	HSBC Bank UK 71 Queen Victoria Street London EC4V 4AY

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2023.

Principal activities

The principal activity of the Company continued to be the development and provision of software and related services for the asset and wealth management industry.

Results and dividend

For the year ended 31 March 2023 (FY 23¹), the Company recorded revenue of £690,000 (FY 22: £803,000). This is a result of a lower level of software licensing and implementation projects worked in the year, albeit at an improved gross margin of 71.2% (FY 22: 65.6%). Profit after tax decreased to £99,000 (FY 22: £136,000). The Company continues to hold significant net assets of £681,000 (FY 22: £587,000), including £275,000 (FY 22: £213,000) of cash.

Directors have not recommended the payment of a final dividend (FY 22: £nil).

Future developments

The Directors are cautiously optimistic of improved financial performance in the coming year, whilst remaining mindful of the continuing macro-economic uncertainty. The Company continues to present an attractive data solutions and product proposition for asset managers. The Directors see further potential in this offering. The Directors will continue to monitor the performance of the Company throughout the coming financial period.

Directors

The Directors who held office during the year and at the date of this report were as follows:

JC Paton
LJ Griggs
GA Cook (Appointed 30 June 2022)
ENB Fraser (Resigned 31 March 2023)

Political contributions

The Company made no political donations and incurred no political expenditure during the year (FY 22: £nil).

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is available on our website in the Group's Annual Report & Accounts 2023 on pp. 40-41.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

¹ FY 23 is the financial year covering the 12 months to 31 March 2023. By comparison, FY 22 is the previous financial year covering the 12 months to 31 March 2022. FY 24 is the subsequent financial year covering the 12 months to 31 March 2024.

² Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc, and its subsidiaries.

Directors' report (continued)

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.

A handwritten signature in black ink, appearing to read 'Greg Cook', written in a cursive style.

Greg A Cook

Director

60 Gresham Street
London EC2V 7BB

8 November 2023

Statement of Directors' responsibilities in respect of the Directors' report and the financial statements

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a Directors' Report that complies with that law and those regulations.

The directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Independent auditor's report to the members of Obsidian Solutions Limited

Opinion

We have audited the financial statements of Obsidian Solutions Limited ("the Company") for the year ended 31 March 2023 which comprise the Profit and Loss account, Balance sheet, Statement of changes in Equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2023 and of its Profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that revenue is recorded in the wrong period and the risk that management may be in a position to make inappropriate accounting entries, and the risk of bias in accounting estimates and judgements such as share-based payment assumptions.

Independent auditor's report to the members of Obsidian Solutions Limited (continued)

We did not identify any additional fraud risks. We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA, unusual journals with a credit or debit entry to cash and unusual journal entries with a credit or debit entry to revenue.
- Assessing significant accounting estimates for bias.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Directors' report

The Directors are responsible for the Directors' report. Our opinion on the financial statements does not cover this report and we do not express an audit opinion thereon.

Our responsibility is to read the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the directors' report;
- in our opinion the information given in this report for the financial year is consistent with the financial statements; and
- in our opinion this report has been prepared in accordance with the Companies Act 2006.

Independent auditor's report to the members of Obsidian Solutions Limited (continued)

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to take advantage of the small companies exemption from the requirement to prepare a strategic report.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 4, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)

for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants

East West,
Tollhouse Hill
Nottingham NG1 5FS

10 November 2023

Profit & loss account
for the year ended 31 March 2023

	Note	Year ended 31 March 2023 £000	Year ended 31 March 2022 £000
Revenue	2	690	803
Cost of sales	4	(199)	(276)
Gross profit		491	527
Administration expenses	3	(367)	(367)
Operating profit		124	160
Finance expense		(2)	-
Profit before taxation		122	160
Taxation	6	(23)	(24)
Profit for the year		99	136

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There was no other comprehensive income in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet
As at 31 March 2023

	Note	As at 31 March 2023 £000	As at 31 March 2022 £000
Non-current assets			
Property, plant and equipment	7	4	7
Capitalised implementation costs	8	11	34
Amounts owed by Group undertakings		697	-
		<u>712</u>	<u>41</u>
Current assets			
Trade and other receivables	8	59	605
Cash and cash equivalents	9	275	213
		<u>334</u>	<u>818</u>
Current liabilities			
Trade and other payables	10	(349)	(231)
		<u>(349)</u>	<u>(231)</u>
Net current (liabilities)/assets		<u>(15)</u>	<u>587</u>
Total assets less current liabilities		<u>697</u>	<u>628</u>
Non-current liabilities			
Deferred income		(16)	(46)
Net assets		<u>681</u>	<u>582</u>
Capital and reserves			
Issued share capital	11	-	-
Share premium		689	689
Retained earnings		(8)	(107)
Total Shareholders' equity		<u>681</u>	<u>582</u>

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 8 November 2023. They were signed on its behalf by:



Greg A Cook
Director

Company registered number: 09737564

Statement of changes in equity
for the year ended 31 March 2023

	Issued share capital £000	Share premium £000	Retained earnings £000	Total Shareholders' equity £000
As at 1 April 2021	-	689	(243)	446
Total comprehensive income for the period				
Profit for the period	-	-	136	136
Transactions with owners				
Dividends	-	-	-	-
As at 31 March 2022	-	689	(107)	582
Total comprehensive income for the period				
Profit for the period	-	-	99	99
Transactions with owners				
Dividends	-	-	-	-
As at 31 March 2023	-	689	(8)	681

The accompanying notes form part of these financial statements.

Notes to the financial statements (forming part of the financial statements)

1 Accounting policies

Obsidian Solutions Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 09737564 and the registered address is 60 Gresham Street, London, England, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London, England, EC2V 7BB or on the website at alphafmc.com/investors.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRS;
- Disclosures in respect of the compensation of key management personnel;
- Disclosures of transactions with a management entity that provides key management personnel services to the Company; and
- Disclosures of related party transactions.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-based Payment in respect of Group settled share-based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 Basis of preparation

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2023.

Revenue recognition

The Directors note that the process of revenue recognition in the Company requires a judgement to be made on the identification of distinct performance obligations under the Company's software contracts with customers. These contracts comprise software fees and other related services, which customers can access over the life of the contract, in line with related performance obligations. Interpretation of the terms of these contracts determine whether the performance obligation is satisfied over time or at a point in time. For further information on the accounting policy implemented by the Company, please refer to section 1.9 below.

The Directors have not identified any significant estimates in the year ended 31 March 2023.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.3 Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, cash liquidity and existing borrowing facilities.

The Company is profit making and cash generative, and had net assets of £681,000 at 31 March 2023. The Company also has access, throughout the going concern period, to a revolving credit facility ("RCF") of £50.0m, through other Group companies, providing further liquidity.

The Company prepared cash flow forecasts covering the going concern period. The base case assumes trading performance over the forecast period in line with the Board-approved budget. The Directors considered the principal risks and mitigants and analysed a range of cash flow downside scenarios including a "reverse-stress test" scenario. This models the decline in sales over the going concern period that would be required before all the available cash reserves are utilised. The Directors consider this scenario and the sequence of events that could lead to it to be remote, as it requires significant annualised revenue reductions compared to the base case, before modelling any mitigating actions, including cost reductions.

The Directors have considered the Company's recent trading, strong cash conversion, and new business pipeline, while also remaining cognisant of the potential ongoing macroeconomic uncertainty.

After careful consideration of these scenarios, the Directors have a reasonable expectation that the Company's existing resources are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Company's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

The Company recognises an expected credit loss provision in relation to financial assets. The simplified method is applied to the Company's trade receivables as described below. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit or loss.

Trade and other receivables

Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of trade receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. The provision is recognised in the income statement as an operating charge.

The trade receivables' balances recorded in the Company's statement of financial position comprise a relatively small number of large balances and are held until realised in cash.

Notes to the financial statements (*continued*)

1 Accounting policies (*continued*)

1.5 Financial instruments (*continued*)

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company consider historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer-specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include: historical collection experience for each customer; the assessed liquidity of key customers within the receivables balance; and other relevant macro-economic factors in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2023, the Company had no derivative financial instruments or designated hedge relationships.

Other financial liabilities held by the Company are recognised at amortised cost.

Trade and other payables

Trade and other payables are initially recognised at fair value, equal to the transaction price, and are subsequently measured at amortised cost. Trade payables due within one year are not discounted.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

1.6 Property, plant and equipment

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3 years
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Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.7 Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists.

1.8 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the statement of comprehensive income as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the statement of financial position.

1.9 Revenue recognition

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income is measured based on the transaction price allocated to the performance obligation from the sale of goods or provision of services. Net fee income is recognised either at a 'point in time' when the performance obligation in the contract has been performed or 'over time' as control of the goods or services are transferred to the customer. Recharged expenses comprise the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company. The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc) as the services are specifically tailored to clients' projects and scope of work.

Revenue generated from software licensing, hosting and related support services provided over a contracted period of time is combined and allocated to a single performance obligation. These contracts are considered to be satisfied over time, in line with the benefits being transferred to the customer. Revenue is recognised on straight-line basis over the contractual licence term.

Implementation services provided by the Company to the customer are classified as either being distinct performance obligations or non-distinct from the licensing and hosting promises described above, dependent on the fact pattern within the underlying contractual arrangement. The Company considers the level of inter-dependency between the contractual promises, and whether the customer can consume the benefits of the licence without the implementation service being performed. Where implementation services are required for the customer to use the software, these services are considered to be non-distinct from the licensing performance obligation. Therefore, the Company accounts for these as a single performance obligation satisfied over the licence term, as described above. The Company generally considers the initial phase of implementation to be non-distinct from the associated licence. The Company typically bills and receives cash for these implementation services in advance of the revenue being recognised, resulting in the recognition of a contract liability.

Costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset, and are subsequently amortised through cost of sales

Notes to the financial statements (*continued*)

1 Accounting policies (*continued*)

1.9 Revenue recognition (*continued*)

on a systematic basis, in line with the transfer of goods or services to the customer.

Other distinct implementation services, as well as separately billable maintenance, support, data assurance and training are treated as separate performance obligations and revenue is recognised as these services are delivered.

Contract modifications relating to the renewal of software licences are accounted for as separate revenue contracts. Other contract modifications are considered on a case by case basis.

Activity performance recognised as revenue in excess of invoices raised are contract receivables and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables. Where amounts have been invoiced in excess of revenue recognised, the excess is a contract liability and is included within deferred income.

In relation to licencing contracts, billing occurs at the beginning of the contractual licence period or incrementally over the course of the licence, in line with the contractual terms. For implementation services, billing typically occurs a month in arrears in line with a contractually agreed schedule.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

1.10 Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Company's revenue, including staff payroll and contractor costs, subsistence and travel that are directly attributable to the delivery of services and supporting growth.

With regard to the Company's software licensing arrangements, costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

1.11 Administration expenses

Administration expenses are defined by management as costs incurred by the Company that are not directly associated with the generation of revenue. This includes items such as head office staff costs, recruitment and professional fees and IT services, which are expensed as incurred. Administration expenses exclude finance income and expenses and taxation, which are presented separately in the profit and loss account.

1.12 Finance income and finance expense

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

1.13 Taxation

Taxation expense on the result for the year comprises current and deferred tax. Current and deferred tax is recognised in the profit & loss account, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.13 Taxation (continued)

extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.14 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2023. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- Reference to the Conceptual Framework (Amendments to IFRS 3), effective from 1 January 2022;
- Property, Plant and Equipment – Proceeds before Intended Use (Amendments to IAS 16), effective from 1 January 2022;
- Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37), effective from 1 January 2022; and
- Annual Improvements to IFRS Standards 2018-20 Cycle, effective from 1 January 2022.

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2023.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Revenue

	FY 23 £000	FY 22 £000
Rendering of services	690	803
	FY 23 £000	FY 22 £000
<i>By activity</i>		
Licensing and implementation of software and associated services	690	803

3 Auditor's remuneration

	FY 23 £000	FY 22 £000
Audit of these financial statements	39	27

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting plc.

Notes to the financial statements (*continued*)

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors that are directly employed by the company) during the year, analysed by category, was as follows:

	Number of employees	
	FY 23	FY 22
Administrative	1	2
Average number of employees for the year	<u>1</u>	<u>2</u>

The aggregate payroll costs of these persons were as follows:

	FY 23	FY 22
	£000	£000
Wages and salaries	130	221
Social security costs	7	24
Contributions to defined contribution plans	2	2
Total staff costs for the year	<u>139</u>	<u>247</u>

5 Directors' remuneration

	FY 23	FY 22
	£000	£000
Directors' remuneration	-	140
Company contributions to money purchase pension plan	-	-

During the year ended 31 March 2023, no director providing material qualifying services exercised share options (FY22: £nil).

	Number of Directors	
	FY 23	FY 22
Retirement benefits are accruing to the following number of Directors under:		
Money purchase schemes	-	-
Long term share incentive plan	-	-

In FY 23 all directors were remunerated through other Group entities and provided no material qualifying services to the Company.

Amounts paid or payable to certain of the Company's Directors through other Group companies have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to other Group companies.

Notes to the financial statements *(continued)*

6 Taxation

	FY 23		FY 22	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		-		-
Group relief payable		24		23
Adjustments in respect of prior periods		-		-
Total current tax		24		23
<i>Deferred tax</i>				
Origination and reversal of timing differences	(1)		(5)	
Effect of tax rate change on opening balances	-		1	
Adjustments in respect of prior periods	-		5	
		(1)		1
Total deferred tax		23		24

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted during the prior year on 24 May 2021. In FY 24, this change will increase the Company's current tax charge accordingly.

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

	FY 23	FY 22
	£000	£000
Profit before taxation	122	160
Tax using the UK corporation tax rate of 19% (FY 22: 19%)	23	30
Fixed asset differences	-	-
Expenses not deductible for tax purposes	-	-
Group relief claimed	(24)	(23)
Payment received for group relief	24	23
Adjustments in respect of prior periods	-	5
Deferred tax not recognised	-	(11)
Total tax expense for the year	23	24

Notes to the financial statements (continued)

7 Property, plant and equipment

	Computer equipment £000
Cost	
Balance at 1 April 2022	28
Acquisitions	-
Disposals	-
Balance at 31 March 2023	<u>28</u>
Depreciation and impairment	
Balance at 1 April 2022	(21)
Depreciation charge for the year	(3)
Disposals	-
Balance at 31 March 2023	<u>(24)</u>
Net book value	
At 31 March 2023	<u>4</u>
At 1 April 2022	<u>7</u>

8 Trade and other receivables

	FY 23 £000	FY 22 £000
Trade receivables	28	10
Amounts owed by Group undertakings	4	520
Capitalised implementation costs	23	73
Other receivables	4	2
Total amounts due within one year	<u>59</u>	<u>605</u>

Amounts owed by Group undertakings are interest free and are repayable on demand.

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit losses in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Amounts relating to the capitalisation of non-distinct software implementation costs, incurred in advance of the commencement of the client's licence period, are recognised in current and non-current assets. Non-current capitalised implementation costs of £11,000 (FY 22: £34,000) are presented on the face of the balance sheet. These current and non-current implementation assets in relation to Obsidian contracts are amortised over an expected life equivalent to the contracted licence period. Amortisation recognised in the period in respect of these costs amounted to £73,000 (FY 22: £82,000). No impairment was deemed necessary in the period. No significant judgements have been made in determining the amount of costs to be capitalised, which primarily comprise costs within scope of IAS 19 Employee Benefits.

9 Cash and cash equivalents

	FY 23 £000	FY 22 £000
Cash at bank	275	213
Cash and cash equivalents	<u>275</u>	<u>213</u>

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

Notes to the financial statements (continued)

10 Trade and other payables

	FY 23 £000	FY 22 £000
Amounts owed to Group undertakings	210	87
Deferred income	33	80
Accruals	106	64
Total amounts owed within one year	<u>349</u>	<u>231</u>

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on timing differences between satisfaction of the performance obligations relating to software licensing and the underlying billing schedule. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period.

	FY 23 £000	FY 22 £000
Contract liabilities at the start of the year	126	133
Increase in contract liabilities during the year	3	126
Contract liabilities recognised in revenue during the year	(80)	(133)
	<u>49</u>	<u>126</u>

The table below shows the revenue that the Company will earn from customers when the Company satisfies the remaining performance obligations in certain contracts. These mainly relate to multi-year contracts which range between 1 to 5 years in which software access revenue is recognised over the access period. The following table sets out the aggregate amount of the contracted transaction price allocated to performance obligations that are unsatisfied or partly satisfied at the year end date. Amounts relating to contracts with an expected original life of less than one year are not disclosed. Similarly, the Company has adopted the practical expedient not to disclose amounts under longer term contracts in which the revenue is to be invoiced on agreed day rates. Revenue from unperformed performance obligations is expected to be recognised in the following timeframes.

	FY 23 £000	FY 22 £000
To be undertaken and recognised within one year	144	299
To be undertaken and recognised between one and three years	147	282
To be undertaken and recognised after three years	32	79
	<u>323</u>	<u>660</u>

Notes to the financial statements (continued)

11 Share capital

	FY 23	FY 22
	£	£
<i>Allotted, called up and fully paid</i>		
144,219 ordinary shares of £0.001 each	144	144
2 ordinary shares of £0.50 each	1	1
8,475 preferred ordinary shares at £0.001 each	8	8
Balance at the end of the year	<u>153</u>	<u>153</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

The holders of preference shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. On liquidation, preference shares are repaid before ordinary shares. These preference shares are not redeemable and dividends associated with the shares are discretionary.

12 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

13 Ultimate parent company

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, England, EC2V 7BB, or the website investors.alphafmc.com.